

Paradiem

The Morning Brief

AUGUST 23, 2026

Duties Live

Section 338 Canadian duties took effect Saturday as talks collapsed; Bessent Monday delivers Iran sanctions detail into Jackson Hole week.

|                                                      |                                                    |                                                                 |                                              |                                                               |
|------------------------------------------------------|----------------------------------------------------|-----------------------------------------------------------------|----------------------------------------------|---------------------------------------------------------------|
| S&P 500 (FRI CLOSE)<br>\$765.72 · ↓~1.4% on the week | WTI (USO FRI CLOSE)<br>\$134.64 · ↑~6% on the week | BITCOIN (LIVE SUN)<br>~\$77,260 · Sat flash-crash from ~\$79.5K | CANADA DUTIES<br>LIVE · 12:01 AM ET Saturday | FEAR & GREED (CNN)<br>55 · Greed (drop shows Crypto endpoint) |
|------------------------------------------------------|----------------------------------------------------|-----------------------------------------------------------------|----------------------------------------------|---------------------------------------------------------------|

SECTION 01

Markets — Weekend Recap: Canada Duties Land at 12:01 AM ET Saturday, Bitcoin Round-Trips the Weekly Rip, and the Bessent-and-Warsh Sequence Frames the Monday Open

TWO WEEKEND EVENTS REDEFINE THE MONDAY SETUP — THE SECTION 338 DUTY WENT LIVE AND BITCOIN ROUND-TRIPPED APPROXIMATELY \$2K OF FRIDAY’S RIP

Per ABC News, Fox Business, and Al Jazeera coverage of Saturday morning’s tape, the 50% Section 338 duties on approximately \$20B of Canadian imports (dairy, alcoholic beverages, autos, and adjacent goods with energy, potash, critical minerals, and fish carve-outs) took effect at 12:01 AM ET Saturday after Friday-night talks collapsed, with Prime Minister Carney publicly characterizing the outcome as a policy miscalculation and formally suspending negotiations. Per Al Jazeera Aug 22 coverage, Canada’s dollar-for-dollar retaliation is scheduled to land September 8 across steel, dairy, appliances, agricultural equipment, pulp and paper, and electronics — a two-week window that frames the read-through to the FCI industrial-and-materials complex noted in the geopolitics section below. Per Rio Times, TS2, and Robinhood prediction-market coverage of Saturday’s live crypto tape, Bitcoin traded near \$77,260 into the Sunday-morning window after printing an intraday high close to \$79,500 before a sudden flash crash Saturday — a round-trip of roughly \$2K that took approximately two percentage points off the record weekly gain captured in Saturday’s brief while leaving the week itself materially intact at approximately ↑20% versus the Friday-prior print. Per data drop Friday closes carried into the weekend snapshot: S&P closed ↑0.41% at \$765.72 Friday but ↓~1.4% on the week, WTI closed ↑0.07% at \$134.64 Friday and ↑~6% on the week, and TLT closed ↓0.35% at \$82.05 Friday having round-tripped the Wednesday buyback intervention. The composition heading into Monday’s open reads as a two-vector setup: the Canada duty is now a live tape rather than a pending catalyst, and the digital-asset expression carries a modestly softer weekend read into Bessent Monday.

|                    |                                           |
|--------------------|-------------------------------------------|
| CANADA SECTION 338 | 50% duty LIVE · 12:01 AM ET Sat           |
| CANADA RETALIATION | Sept 8 · steel/dairy/appliances/ag        |
| BITCOIN (LIVE SUN) | ~\$77,260 · Sat flash-crash from ~\$79.5K |
| BESSENT PRESSER    | Mon 2:00 PM ET · Iran sanctions detail    |
| WARSH KEYNOTE      | Fri Aug 28 · 10:00 AM ET                  |
| NVDA / PCE         | Wed Aug 26 · AMC / 8:30 AM ET             |

**THE WEEK'S TWO MARQUEE CATALYSTS ARE NOW FRONT-LOADED — BESSENT MONDAY AND NVDA-PCE WEDNESDAY PRECEDE THE WARSH JACKSON HOLE KEYNOTE**

Per Yahoo Finance, IndexBox, and Al-Monitor coverage of Treasury's scheduling announcement, Treasury Secretary Bessent will hold his Iran-sanctions press conference at 2:00 PM ET Monday at the Treasury Department — the operative detail window on the enforcement perimeter the Secretary framed last week as the most stringent to date and characterized as pursuing the widest coordinated economic isolation to date. Per BEA calendar, GDP 2nd estimate and July Personal

Income & Outlays (including the PCE deflator) publish Wednesday August 26 at 8:30 AM ET, alongside Durable Goods; NVDA reports Wednesday after the market close, with CRM and CRWD the same evening. Per MNI Markets and Kansas City Fed calendar confirmation, Chair Warsh's Jackson Hole keynote is confirmed for 10:00 AM ET Friday August 28 under the official Kansas City Fed symposium theme "Financial Innovation: Implications for Payments and Policy" — a notably crypto-adjacent framing for a first Jackson Hole as Chair and one InvestingLive characterized as testing Warsh's historically minimalist communication approach against elevated market expectations. For FCI positioning, the composition tilts the sequence risk toward the front of the week: Bessent Monday tests the crude and sanctions complex, PCE Wednesday tests the rate-cut probability distribution, and NVDA Wednesday tests the growth-sleeve read-through — all before the Warsh keynote lands Friday.

*A week that front-loads two independent policy catalysts before the Chair speaks tends to leave the tape re-priced before the keynote it was setup for. Research Reveals Opportunities.*

## Geopolitics — Section 338 Duties Live Against ~\$20B of Canadian Goods with Sept 8 Retaliation Scheduled, Bessent Monday Frames the Iran Perimeter, and the Hormuz-Druzhba Two-Front Supply Story Extends

### TRADE-WAR ESCALATION MATERIALIZED OVER THE WEEKEND — DUTIES LIVE AGAINST APPROXIMATELY \$20B OF CANADIAN GOODS, OTTAWA'S RETALIATION SCHEDULED SEPTEMBER 8

Per ABC News, NBC News, Fox Business, and boston.com coverage of Saturday morning's tape, the 50% Section 338 duty took effect at 12:01 AM ET Saturday on roughly \$20B of Canadian imports after negotiators failed to reach an eleventh-hour agreement Friday night. Per Fox Business coverage of Prime Minister Carney's Friday-evening statement, Ottawa characterized Washington's late-window terms as uneconomic and unfair in a manner that undermined the net benefit calculus for Canada, and formally suspended negotiations. Per Al Jazeera August 22 coverage, Carney announced dollar-for-dollar Canadian retaliation to land September 8 across steel, dairy, appliances, agricultural equipment, pulp and paper, and electronics — the two-week runway that frames Monday's open through the middle of the following week. For FCI positioning, the compound read-through sorts as follows: the tariff-refund tailwind that materially expanded Walmart's Q2 gross margin (per Investing.com and TradingKey coverage cited in the prior brief) now runs into a mirror-image Canadian duty on adjacent-goods cost basis; the industrial and materials sleeve absorbs steel-and-aluminum-adjacent read-through (STLD closed  $\uparrow 4.42\%$  at \$228.68 Friday per data drop — the widest single-name print in the dividend sleeve on the session — and reads directly against the September 8 Canadian steel retaliation date); and the auto-and-homebuilder complex (PCAR \$131.03  $\uparrow 1.62\%$ , TOL \$147.09  $\uparrow 1.36\%$ , CAT \$827.90  $\uparrow 1.53\%$  per data drop) reads against both the duty landing and the retaliation package. The potash carve-out remains favorable for NTR (\$75.27  $\uparrow 2.94\%$  Friday per data drop), and the energy carve-out neutralizes the direct read-through to CVX (\$205.27) and CNX (\$36.36) — a composition that continues to isolate the FCI energy sleeve as the two-front supply hedge captured below.

### BESSENT MONDAY AT 2:00 PM ET — ENFORCEMENT PERIMETER DETAIL ON THE IRAN PACKAGE IS MONDAY'S OPERATIVE CROSS-ASSET CATALYST

Per Yahoo Finance, IndexBox, and Al-Monitor coverage of Treasury's scheduling announcement, Treasury Secretary Bessent will hold a press conference at the Treasury Department at 2:00 PM ET Monday to provide detail on the Iran sanctions package the Secretary characterized last week as the most stringent regime imposed to date and framed as pursuing the widest coordinated economic isolation to date. Per Bloomberg and Fortune previews cited in prior briefs, the operative variable remains the secondary-sanction perimeter around Shandong teapot refiners and the marine-insurance and reinsurance channels rather than the aggregate sanction count. Per SCMP and Hydrocarbon Processing coverage cited in the prior brief, Chinese seaborne Russian crude imports in August ran near 1.25 million barrels per day (up) while Iranian imports collapsed to approximately 340,000 barrels per day on the US blockade — the substitution effect the Bessent perimeter framing will read against. Per data drop headlines, Reuters reported over the weekend that Iran granted permission for a number of Iraqi oil tankers to pass

through Hormuz — a modestly de-escalatory signal at the margin against the compound sanctions framing. For FCI positioning, a package that widens the enforcement perimeter around Chinese refiners and marine-insurance channels tends to firm the physical-friction floor under crude (compound bid through CVX, CNX, OKE, and the crude ETFs); a package that reads narrower would compress the two-week crude gain and reintroduce headroom into the rates-and-growth expression through the sleeve. Monday's detail is the operative catalyst before Wednesday's PCE and NVDA prints.

### MIDDLE EAST TWO-TRACK — ISRAEL STRIKES SOUTHERN SYRIA AS DAMASCUS SIGNALS TALKS MAY CONTINUE; HORMUZ IRAQI-TANKER SIGNAL ADDS A MODEST DE-ESCALATORY READ

Per Reuters coverage cited in the data drop headlines, Israel struck southern Syria over the weekend and Damascus condemned the attack; separately per Reuters, Syria's foreign minister signaled that Israel security talks may still resume despite the absence of trust. Per Reuters coverage cited in the data drop, two US tanker aircraft departed Bulgaria a month after a deployment that had reportedly unsettled Iran — a

signal that could read either as posture de-escalation or as a repositioning of assets ahead of Monday's Bessent detail; if taken at face value, the composition suggests Washington is calibrating force posture against the sanctions-first economic strategy Bessent has framed. Per Reuters coverage cited in the data drop, Iran granted permission for a number of Iraqi oil tankers to transit Hormuz — the first materially permissive signal on the Strait since the reimposition-window escalation and a marginal de-escalatory data point ahead of Monday. For

FCI positioning, the compound diplomatic surround — Bessent detail Monday, Section 338 tariffs live, Israel-Syria strikes, Iraqi-tanker Hormuz signal, and the ongoing Ukraine-Russia refinery campaign disrupting Druzhba flows into Hungary and Slovakia per Wikipedia and OilPrice.com coverage — keeps the crude complex two-sided into Monday's tape and continues to isolate the FCI energy sleeve (CVX, CNX, OKE) as the intersection of the geopolitical risk premium and the debasement bid.

#### SECTION 03

## On Our Radar

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### **1. Week Ahead — Bessent Monday 2:00 PM ET, PCE & NVDA Wednesday, Warsh Jackson Hole Keynote Friday 10:00 AM ET.**

Per Yahoo Finance and IndexBox coverage, Treasury Secretary Bessent's Iran-sanctions press conference lands Monday 2:00 PM ET at the Treasury Department. Per BEA calendar, GDP 2nd estimate and July Personal Income & Outlays (including the PCE deflator) publish Wednesday August 26 at 8:30 AM ET alongside Durable Goods and the Conference Board Consumer Confidence Tuesday at 10:00 AM ET; NVDA reports Wednesday AMC with CRM and CRWD the same evening, MRVL and BBY Thursday. Per Kansas City Fed calendar and MNI Markets confirmation, Chair Warsh's Jackson Hole keynote lands Friday August 28 at 10:00 AM ET under the theme "Financial Innovation: Implications for Payments and Policy." Per Wall Street Horizon and MarketBeat consensus coverage, sell-side consensus for NVDA Q2 sits near \$91–\$92B revenue (approximately 55% year-over-year) against management's prior guide of approximately \$91B; per prior TipRanks coverage cited in the Saturday brief, options traders were pricing an approximate 7% post-earnings move with NVDA having declined after each of the past four prints — a composition that materially frames the FCI growth-sleeve read-through across AMD, TSM, MRVL, NXPI, LRCX, and KEYS.

**2. Canada Section 338 Tariffs Live — Sept 8 Retaliation Date Frames the Two-Week Runway on the Industrial-and-Materials Sleeve.** Per ABC News, Fox Business, and Al Jazeera coverage of Saturday's tape, the 50% Section 338 duty on approximately \$20B of Canadian imports took effect 12:01 AM ET Saturday after Friday-night talks collapsed. Per Al Jazeera August 22 coverage, Prime Minister Carney announced dollar-for-dollar Canadian retaliation to land September 8 across steel, dairy, appliances, agricultural equipment, pulp and paper, and electronics. For FCI positioning, Monday's open will read the duty-live tape against Friday's data-drop closes: STLD ↑4.42% at \$228.68 (widest single-name print in the dividend sleeve on the session) reads directly against the September 8 Canadian-steel retaliation date; CAT \$827.90 (↑1.53%), TOL \$147.09 (↑1.36%), PCAR \$131.03 (↑1.62%), FAST \$51.26 (↑1.18%), and GPC \$133.96 (↑0.78%) sit in the direct auto-industrial-and-supply corridor. The potash carve-out remains favorable for NTR (\$75.27 ↑2.94% Friday per data drop), and the energy carve-out neutralizes the direct read-through to CVX and CNX. The two-week runway to Canadian retaliation frames the sleeve read against Monday's open and against any incremental US-Canada signal in the balance of the week.

**3. Bitcoin Round-Trips ~\$2K Saturday — IBIT and ETHA Head Into Monday with a Modestly Softer Read Against the Jackson Hole "Payments and Policy" Theme.** Per Rio Times, TS2, and Robinhood prediction-market coverage of Saturday's live crypto tape, Bitcoin traded near \$77,260 into the Sunday-morning window after printing an intraday high close to \$79,500 before a sudden Saturday flash crash — a round-trip of roughly \$2K off the record weekly rip captured in Saturday's brief. Per data drop, IBIT closed Friday ↑6.02% at \$43.68 and ETHA ↑3.93% at \$18.24 — the FCI expression carried Friday cleanly but the Saturday round-trip trims the weekly mark by approximately two percentage points to roughly ↑20%. Per Kansas City Fed calendar, the Jackson Hole theme — "Financial Innovation: Implications for Payments and Policy" — remains a notably crypto-adjacent framing for Chair Warsh's first keynote and a compositional signal that will read against both the CLARITY Act procedural vote scheduled for September 15 (per Coinpedia and Decrypt coverage cited in the prior brief) and the ongoing regulatory-framework tailwind noted in the prior sequence. For FCI, the digital-asset expression through IBIT and ETHA continues to sit at the intersection of the debasement bid and the regulatory-framework signal, both of which remain broadly intact even after the Saturday round-trip.

**4. Carson's SPY \$645.80 Support Remains Active; Sunday Snapshot Carries Friday's Data Drop Unchanged into the Monday Open.** Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Friday's \$764.17–\$767.85 SPY intraday range per data drop and sits approximately 15.7% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With Bessent's 2:00 PM ET press conference Monday, Consumer Confidence and New Home Sales Tuesday at 10:00 AM ET, July PCE and Q2 GDP 2nd estimate Wednesday at 8:30 AM ET, NVDA reporting Wednesday AMC, MRVL Thursday AMC, and Chair Warsh's Jackson Hole keynote Friday morning, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: per finhacker.cz historical coverage as of Aug 21, the CNN stock-market Fear & Greed reading printed 55 "Greed" — the data-drop reading of 66 reflects the CNN endpoint falling back to the crypto index and should be treated as approximate for this brief.